Signed by
Transition RAC
RADIX DAO LLC

Radix DAO Permanent RAC Mandate

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> **Scope of this document.** This Mandate governs the **Permanent RAC**, the standing governance-process oversight body of the Company, constituted following the Transition Period in accordance with **Operating Agreement Article VII** and the **Elections & Role Governance Policy**. The Transition RAC and its limited formation-period authority are governed by Operating Agreement Article VI.

1. Purpose

The Permanent RAC exists to **ensure the integrity, continuity, and correct execution of DAO governance processes**.

The Permanent RAC acts as a **guardian of process**, not a decision-making authority. It is not, unless expressly stated otherwise in this Mandate, the Operating Agreement, or another document forming part of the ratified governance framework, a general executive, treasury-management, or policy-making authority.

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2. Core Function

The Permanent RAC is responsible for:

- Ensuring that governance processes are followed correctly
- Verifying that approved proposals are executed as intended
- Monitoring treasury operations for compliance with approved decisions
- Coordinating responses to emergencies and governance failures
- Flagging inconsistencies, risks, or violations to the DAO
- Receiving Treasury Outflow Alert signals from a Working Group chartered to issue them, and pausing the next Treasury / Budget proposal's voting period until community acknowledgement is recorded on the governance forum, subject to §2.1

2.1 The Treasury Outflow Alert pause

The power is exercisable only on an Outflow Alert from a Working Group chartered to issue one, and is therefore **dormant until such a Charter is adopted** (**Working Group Framework**; **Roles Registry §4**). Until then no alert can be issued, by any body, and the RAC has no power to pause on this ground.

When exercisable, the power is bounded as follows. A Working Group Charter may narrow these limits, not widen them.

- **One pause per proposal**, non-renewable.

- **Five business days maximum.** The voting period resumes automatically on acknowledgement being recorded or on expiry, for the balance unexpired at the pause; it does not restart.
- **Reasons published at the pause** to the Official Venue — the alert relied on, the outflow it concerns, and what would constitute acknowledgement.
- **No pause** on a proposal the RAC opposed at Draft Discussion or Temperature Check, or in which a member is a named recipient or executor (**Conflict of Interest Policy §3.1**).
- **Immediately challengeable** under the **Dispute Resolution & Arbitration Policy**. The Compliance Challenge in **Proposal & Voting Framework §8** runs from result publication, and a paused vote produces none.

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3. Scope of Authority

The Permanent RAC may:

- Validate whether proposals meet formal submission requirements
- Trigger defined governance processes (e.g., emergency procedures, Compliance Challenge processes where applicable)
- Execute DAO-approved actions where explicitly authorized
- Take **temporary emergency actions** within defined limits
- Instruct remaining Treasury Signers to execute a passed proposal under the forced-execution backstop (Governance Continuity Framework §4.2) when the 10-business-day window from Compliance Challenge Window close has elapsed with no valid hold on record
- Instruct the Governance Operator to elevate an eligible passed Temperature Check under the elevation backstop (Governance Continuity Framework §4.2A) where the TC Elevation Window has elapsed with no documented grounds on record, and trigger backstop execution where the instruction is not complied with
- Maintain the Tier 2 voting power source register (DAO Parameters §8A), including adding or removing supplementary sources by routine decision, subject to the 30-day advance notice and `effectiveFrom` requirements defined there
- Hold and monitor the copy address of the **Compliance Challenge Filing Channel** (On-Chain Identifiers & Verification Policy §3), and publish filings received to the Official Venue where the Governance Operator is unavailable or is the subject of the filing (**Proposal & Voting Framework §8.4**). The RAC may not filter, withhold, delay, or edit a filing, including one directed at its own conduct
- Provide or withhold the Permanent RAC's prior written consent, by the majority in **DAO Parameters §3A.4**, to any post-activation amendment of an Entrenched Provision that affects the Permanent RAC's constitutional role, composition, election mechanics, or removal procedure (**Operating Agreement §12.2(d)(iii)**)

Delegation. The Permanent RAC may delegate the operational conduct of its functions under this Mandate to a Working Group that is constituted and operational, or to that Working Group's Stewards, subject to a formal handoff recorded in the Permanent RAC's quarterly accountability report (§6).

Delegation transfers execution only. It does not transfer a determination, adjudication, consent, or selection that this Mandate or another governance document reserves to the RAC; it does not confer the Governance Operator function or the Owner Badge; and it does not displace the RAC's oversight responsibility, which is non-delegable. The RAC remains accountable to the DAO for a delegate's exercise of a delegated function and may revoke a delegation at any time.

This is a general power, and a delegation made under it needs no further authorisation in this Mandate or elsewhere. The transfer of ongoing audit coordination in §12 is an instance of it and remains subject to the additional conditions stated there.

3A. Advisory Governance Period — Acknowledgement of Recognised Outcomes

During the **Advisory Governance Period** (formation to the Activation Date), the RAC — constituted as the **Transition RAC** under Operating Agreement Article VI — must, where an advisory governance outcome meets the recognition thresholds in **DAO Parameters §3A.3**, publish to the Official Venue within **14 days** an acknowledgement of the outcome and, where it determines not to act in accordance with it, a written explanation (**Operating Agreement §5.9**). This is the period referred to in **Charter §4A.1**. Advisory outcomes do not bind the Company during this period (Operating Agreement §§5.8–5.9).

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4. Explicit Limitations

The Permanent RAC **must not**:

- Override or invalidate a valid governance decision recorded on the Governance Platform
- Block or suppress proposals arbitrarily
- Make unilateral strategic or treasury decisions outside approved mandates
- Introduce new rules without governance approval
- Exercise general executive, treasury-management, or policy-making authority beyond the express functions conferred by this Mandate or another document forming part of the ratified governance framework

A function conferred by another document is limited to its express terms and confers no general authority beyond it.

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5. Emergency Powers

Emergency authority — including permitted actions, tiers, approval thresholds, and disclosure obligations — is defined in the **Emergency & Safeguards Policy §5–6**.

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6. Accountability & Transparency

- All RAC actions must be publicly recorded
- Any deviations from standard process must be justified and disclosed
- The RAC must publish a **quarterly accountability report** covering all RAC actions taken during the quarter, deviations from standard process, and emerging risks
- The RAC must publish a determination of the outcome of each governance vote within the window specified in DAO Parameters §3.5

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7. Composition & Selection

- Permanent RAC members are elected by Governance Proposal in accordance with the **Elections & Role Governance Policy**, which governs eligibility, nomination, and election procedures
- Composition: between 5 and 7 persons
- No permanent or externally appointed seats exist
- Members serve fixed terms (defined in the Elections & Role Governance Policy)
- Upon seating, Permanent RAC members are admitted as legal Members of the LLC under **Operating Agreement Article IV (§§4.3, 4.6)**. This Membership is a legal compliance structure and does not alter the process-guardian role defined in this Mandate
- A Permanent RAC member may simultaneously hold a Delegate function (established under **Operating Agreement §11.5**; see Delegate Mandate), subject to the role-concentration limits in **DAO Parameters §6B** and the recusal obligations of the **Conflict of Interest Policy**

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8. Conflict of Interest

RAC members are subject to the **Conflict of Interest Policy**, including the heightened obligations defined in CoI Policy §8 (majority-conflict escalation, prohibition on holding positions at entities under RAC review).

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9. Removal

- RAC members may be removed by DAO vote at any time
- Emergency removal mechanisms may be defined in governance processes

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9A. Resignation

- A RAC member may resign by written notice. Resignation causes cessation of legal Membership under **Operating Agreement §4.7(b)** and immediate vacancy

of the seat under **DAO Parameters §5.1**; the replacement process runs under the **Elections & Role Governance Policy §11**
- Where a resignation would reduce seated members below the applicable RAC floor (Permanent RAC: 5; Transition RAC: 3 — DAO Parameters §5.1), or active Treasury Signers below the applicable execution quorum (post-activation 3-of-5; Transition Period 2-of-3 — DAO Parameters §6A), the **Floor-Protected Resignation** rule in **Elections & Role Governance Policy §11.2** applies: the resignation is permitted but conditioned on the 14-day Floor-Protected Resignation Notice (DAO Parameters §6B), and converts to a continuity event if the member cannot serve that notice. For a **Transition RAC** seat, replacement is reserved to the Operating Agreement (§6.3, Schedule 1) and the resulting vacancy is handled under the **Governance Continuity Framework §4.6** rather than by replacement election
- Outgoing members remain subject to the handover obligations in **Elections & Role Governance Policy §12**

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10. Relationship to the DAO

The Permanent RAC operates **on behalf of the DAO** and remains fully subordinate to:

- Governance Participant authority exercised through the Governance Mechanism — advisory during the Advisory Governance Period and binding from the Activation Date (Operating Agreement §§5.7–5.9)
- Approved governance processes

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11. [Reserved]

This section number is retained, rather than renumbered, so that references to §11A and §11B remain stable.

11A. Selective Obstruction

A documented pattern by a Permanent RAC member of delaying governance process verification, or selectively enforcing rules without documented grounds on record, constitutes misconduct independent of the inactivity clause (DAO Parameters §6B). Any Permanent RAC member may flag this pattern in another member. Any Governance Participant may trigger a misconduct review via Governance Process proposal. This provision is enforced under the **Code of Conduct §6** (see also the parallel provision at Treasury Signers Rules §9A).

11B. Community Accountability Hearing

A Temperature Check meeting the standard 3% quorum threshold may request a formal Permanent RAC accountability hearing on a specific matter. The Permanent RAC is obligated to publish a public written response within 7 days addressing the specific concerns raised. Failure to respond within 7 days is treated as a process breach subject to dispute escalation (DAO Parameters §6C). The written response must be posted to the governance forum and linked in the Permanent RAC's next periodic report.

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12. Early-Term Responsibilities

The Permanent RAC carries the following specific responsibilities in the period immediately following its constitution:

Treasury Audit Framework — mandatory early deliverable:

- Define the scope, criteria, and frequency for the DAO's mandatory annual independent treasury audit (DAO Parameters §6.2)
- Identify and assess candidate audit providers
- Bring an auditor appointment proposal to governance for approval — this must be initiated within the first quarter of the Permanent RAC's term
- Ensure the appointed auditor has access to sufficient treasury records and on-chain transaction history to conduct a meaningful first audit

The Permanent RAC may not delegate this responsibility to a Working Group until that Working Group is constituted and operational. Once a Treasury & Finance Working Group is operational, the Permanent RAC may transfer ongoing audit coordination to that body, subject to a formal handoff recorded in the Permanent RAC's quarterly accountability report.

Governance & Legal Working Group — mandatory early deliverable:

- Bring the establishment proposal for the **Governance & Legal Working Group** (Working Group Framework §3) to governance within the **first quarter** of the Permanent RAC's term
- This Working Group holds the Tier 2 fallback authority in the **Governance Continuity Framework §4.1** and maintains the **Emergency Signer Reserve** (Treasury Signers Rules §15); until it is constituted, the Tier 2 fallback authority is unstaffed and the Reserve subsists only as constituted by the founding election (Elections & Role Governance Policy §17.4), lapsing on expiry of the Reserve List Validity Period. Constituting it closes a known continuity gap and takes priority over discretionary workstreams
- The proposal must include the initial Emergency Signer Reserve process (candidate criteria, KYC readiness, and the schedule for the first Reserve approval vote)